



US • ISRAEL INHERITANCE MAP

Inheriting Across the US-Israel Border

A plain-English map of what you are facing, in what order, on what clock, and who to call.

When someone with ties to both countries dies, the people who inherit meet two legal systems, two tax systems, and banks that freeze everything. No single professional owns the whole problem. This guide maps the landscape so you can walk into the right conversations already knowing the shape of what is ahead.

TWO SYSTEMS • ONE MAP

How to use this guide

This is a map, not a manual. It tells you what exists, roughly in what order things happen, and which questions to take to which professional. It does not tell you what to do about your own estate or taxes, because that depends on facts only a licensed professional who has reviewed your situation can weigh.

Read it once to see the whole landscape. Then use the six questions on page 4 to locate yourself, and the question lists near the end to make your first professional conversations short and useful.

Why this is genuinely hard

A cross-border estate has to clear three areas in **both** countries at once, and the two countries do not coordinate the way you might expect.

	United States	Israel
LEGAL	Probate or administration of the estate under the relevant state’s law.	A Succession Order or Probate Order from the Registrar of Inheritance Matters before assets move.
TAX	Estate tax on death, plus reporting duties for heirs who are US persons.	No estate or inheritance tax, but a later sale of inherited property can be taxed.
BANKING	Accounts generally accessible once the estate’s representative is recognized.	Accounts are frozen at death and released only against a court order and tax clearance.



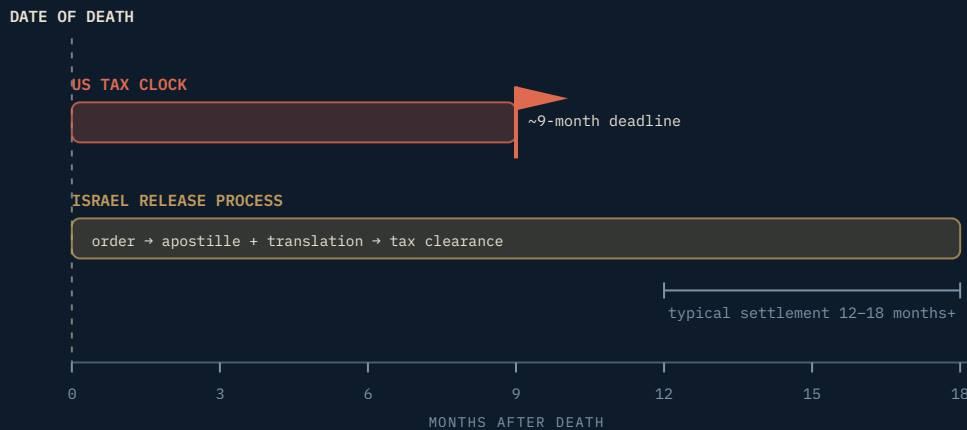
Only the income-tax treaty signed in 1975 is in force between the two countries.

THE STRUCTURAL FACT

There is no estate-tax treaty between the United States and Israel. That gap is why coordination across the two systems falls to you and the professionals you choose, and why getting the sequence right matters.

The clock

A cross-border estate commonly takes **twelve to eighteen months or more** to settle, because each court order, translation, and clearance depends on the one before it. The danger is that the slowest, most paperwork-heavy track in Israel runs alongside a hard, early deadline in the United States.



Two tracks, two speeds. The US deadline lands early, while the Israeli release is still being untangled.

THE DEADLINE BURIED EARLY

If a United States estate tax return is required, it is generally due **nine months after the date of death**. A six-month extension of time to file can be requested, but it does not extend the time to pay. This clock starts on the day of death, long before the Israeli side is usually untangled. Whether a return is required in your case is a question for a licensed professional, and worth asking early rather than late.

The practical takeaway is not a date to memorize. It is this: the US tax clock and the Israeli release process move at different speeds, and the time to confirm your deadlines is at the start, not when one of them is nearly up.

Locate yourself: six questions

Every professional you speak to will ask some version of these six questions first, because the answers decide which rules apply. Answering them now tells you roughly where you sit, and makes your first meetings far shorter.

1

The deceased's status

US citizen, US green-card holder, Israeli resident, dual, or other.

2

Where they were domiciled

The permanent home they treated as theirs. The single biggest driver of US estate tax, and not the same as where they died.

3

Who inherits, and their status

Is any heir a US person? Is any heir an Israeli resident? This decides who has reporting duties.

4

Where the assets sit (situs)

A US bank account, US real estate, or US company shares are US-situs; an Israeli apartment or account is Israeli-situs.

5

What types of assets

Cash, real estate, retirement accounts, business interests, securities. Each is treated differently.

6

Is there a will, and its value

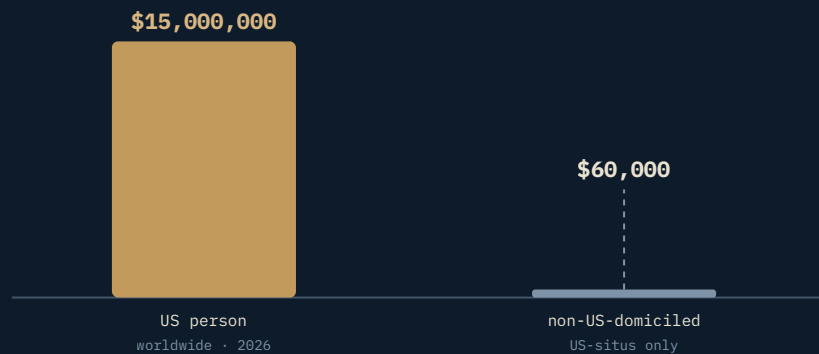
A will, no will, or a foreign will each route differently, and rough value decides which thresholds you cross.

Keep your six answers on one page. Bring them to every conversation. They are the fastest way to turn a vague, frightening situation into a defined one.

What each system actually does

The United States side – the exemption cliff

US estate tax reaches the worldwide assets of a US person, but the exemption is large. For someone who is **not** a US citizen and not US-domiciled, the estate is taxed only on US-situs assets, and the exemption collapses.



Drawn to scale. \$60,000 is roughly 1/250 of the \$15M exemption, and it is not adjusted for inflation.

Above the exemption, the top rate runs up to **40 percent**. For a non-domiciled estate, a US estate tax return (Form 706-NA) is required once US-situs assets exceed \$60,000 — a single US brokerage account or property can be enough to trigger it. Separately, an heir who is a US person and receives more than **\$100,000** from a foreign estate or person in a year must report it on **Form 3520**; the inheritance itself is generally not taxed, but the report is mandatory and the penalties for missing it are steep.

The Israeli side

No estate or inheritance tax since 1981. Inheriting is not itself a taxable event. The cost surfaces later.

Carryover basis. Inherited property keeps the deceased's original purchase history. On a later sale of Israeli real estate, the gain can face **Mas Shevach** (land appreciation tax), generally 25% on the real gain.

The bank freezes accounts at death. Release generally needs a court order from the Registrar of Inheritance Matters: a Succession Order (no will) or Probate Order (a will).

A foreign will typically needs an **apostille** and a certified Hebrew translation, and moving funds out usually requires a **tax-clearance certificate**.

THE MISSING-TREATY CLOUD

Because there is no US-Israel estate-tax treaty, nothing automatically prevents the same assets from being exposed on both sides, and nothing coordinates the two timelines for you. This is the single biggest reason to get cross-border advice rather than treating the US and Israeli pieces as two separate problems.

Questions to bring to each professional

You do not need to arrive with answers. You need the right questions, and your six answers from page 4 in hand. These are starting points, not a complete list.

Cross-border (US-Israel) estate attorney

- Based on the deceased's domicile and asset situs, which country's process leads, and in what order should the two run?
- Is a US estate tax return likely required, and if so, what is my filing date counting from the date of death?
- Do we need a Succession Order or a Probate Order in Israel, and what does the will (or its absence) mean for that?
- What needs an apostille and certified Hebrew translation, and who arranges it?

Dual-country (US-Israel) CPA or tax adviser

- As an heir, what must I report in the US, and by when? Does Form 3520 apply to me this year?
- Will inherited Israeli property expose me to Mas Shevach if I later sell, and how is the gain measured?
- Do inherited accounts create FBAR or FATCA duties for me going forward?
- How do the US and Israeli tax positions interact, given there is no estate-tax treaty?

The Israeli bank holding frozen accounts

- Exactly which documents do you require to release the account, and in what form?
- Do you require a tax-clearance certificate before funds can leave the country?
- Who at the branch handles deceased-estate matters, and how should documents be submitted?

A short bilingual decoder

The terms below cause the most confusion in the first few weeks.

Domicile

The country a person treats as their permanent home. It drives US estate-tax exposure and is not the place of death or current address.

Situs

Where an asset is legally located for tax purposes. US property or US company shares are US-situs even if the owner lived in Israel.

Tzav Yerusha – Succession Order

The Israeli court order issued when there is no will, naming the legal heirs so assets can be released.

Tzav Kiyum Tzava'a – Probate Order

The Israeli court order that validates an existing will so it can be acted on.

Registrar of Inheritance Matters

The Israeli authority that issues Succession and Probate Orders.

Apostille

An international certification authenticating a public document, such as a foreign will or death certificate, for use in another country.

Mas Shevach – land appreciation tax

Israel's tax on the gain when real estate is sold, generally 25% on the real gain.

Form 706 / 706-NA

The US estate tax return. The NA version applies to a nonresident who is not a US citizen.

Form 3520

The US information return a US person files after receiving more than \$100,000 from a foreign estate or person in a year.

Carryover basis

The rule that an inherited asset keeps the deceased's original cost history, which matters when the heir later sells.

Your next step

You now have the shape of the problem, a way to locate yourself in it, and the questions that make a first professional conversation productive. When you are ready, the right next move is a single conversation with a licensed cross-border professional, not ten searches.

ONE CONVERSATION, NOT TEN SEARCHES

We maintain a short list of vetted US-Israel cross-border attorneys and dual-country tax advisers, and we can point you toward the right kind of professional for your situation when you ask. We also want to know what you are facing that this guide did not map. Reply to the email that delivered this guide and tell us, and we will use it to build the next one.

Orientation, not advice. This guide is general information to help you understand the landscape and prepare for conversations with licensed professionals. It is not legal or tax advice, it does not create any professional relationship, and it should not be relied on for decisions about your specific estate or taxes. Rules and figures change; confirm anything time-sensitive with a licensed professional before acting.

Sources

All figures below were checked against primary sources on **June 10, 2026**. Time-sensitive items should be re-confirmed before you rely on them.

1. 2026 US estate and gift tax exemption of \$15 million and top rate up to 40%: US Internal Revenue Service, “What’s new — Estate and gift tax,” and IRS tax inflation adjustments for tax year 2026 (Internal Revenue Code §2010(c)(3)). [irs.gov](https://www.irs.gov)
2. \$60,000 exemption on US-situs assets for a nonresident who is not a US citizen, and the Form 706-NA filing threshold: IRS, “Some nonresidents with U.S. assets must file estate tax returns.” [irs.gov](https://www.irs.gov)
3. No US-Israel estate-tax treaty; only the income-tax treaty signed in 1975 is in force: IRS, “Israel — Tax treaty documents.” [irs.gov](https://www.irs.gov)
4. Form 3520 reporting of foreign gifts and bequests exceeding \$100,000 in aggregate per year: IRS, “Instructions for Form 3520” and “Gifts from foreign person.” [irs.gov](https://www.irs.gov)
5. US estate tax return (Form 706 / 706-NA) generally due nine months after date of death, with a six-month extension of time to file: IRS, “Frequently asked questions on estate taxes” and Form 706-NA instructions. [irs.gov](https://www.irs.gov)
6. Israel has levied no estate or inheritance tax since 1981, and Mas Shevach of generally 25% applies to the real gain on a later sale of real estate: Israel Land Appreciation Tax Law, administered by the Israel Tax Authority.